

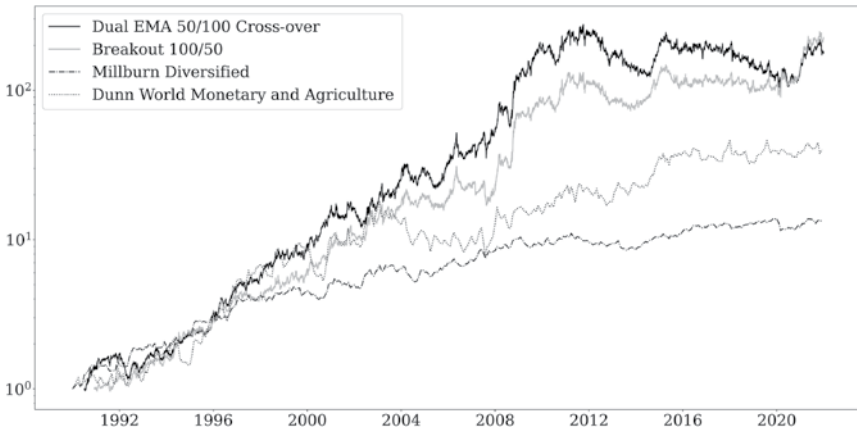


FIGURE 4.5 Base strategies compared to CTA funds.

both have long official track records available and show very respectable performance.

We can see from these figures and the summarised data in Table 4.1 that the most basic strategies, which have been published over and over again for decades, outperform traditional investments in a big way. Start by considering the long-term performance of equities. During the period covered by the simulation, world equities had an annualised performance of less than 9%, which is still above what you would expect to see from the equity markets over longer periods. This number is very much inflated by the prolonged bull market which we have been seeing since 2009, and which is

TABLE 4.1 Simple strategies compared to benchmarks and competition

	Breakout	MA Cross	MSCI World TR	BTOP50	Millburn	Dunn
Compounded annual return	17.90	18.18	8.88	4.95	7.02	13.12
Worst drawdown	-47.19	-64.67	-56.23	-17.30	-22.94	-57.88
Annualised volatility	25.74	28.65	15.46	8.17	13.77	30.75
Percentage profitable months	53.74	57.18	62.64	45.98	57.47	55.17
Best month	48.70	37.94	12.21	10.00	14.59	29.55
Worst month	-19.29	-21.04	-19.79	-7.00	-11.51	-23.52
Sharpe (zero)	0.77	0.73	0.63	0.63	0.56	0.55